IC Memo
Cable One, Inc. (CABO)

Recommendation & Investment Thesis

BUY Cable One's Term Loan B4 due 5/3/28 at 87.00 (S+200bps, ~14.6% YTW). The recommendation does not require an operating turnaround. The forecast assumes continued EBITDA decline through 2029E, while Cable One remains strongly free cash flow positive, providing meaningful liquidity and financial flexibility ahead of the 2028 maturity complex. B4's position in the maturity structure gives CABO a strong incentive to address the loan ahead of the broader 2028 refinancing event.

Cable One is a single segment rural and suburban broadband operator transitioning from legacy video toward data, with continued pressure from fixed wireless and fiber competition and weaker broadband subscriber trends. The credit is further complicated by the pending MBI acquisition. GTCR exercised its put right, requiring CABO to acquire the remaining ~55% of MBI for ~$480mm, with closing expected in October 2026. MBI also has ~$920mm of existing term debt that is currently structurally separate from CABO and not guaranteed by CABO. MBI's assets, liabilities and operating results will be consolidated upon closing, while the final transaction financing and treatment of MBI's existing debt have not yet been finalized.

The key underwriting question is whether Cable One can generate enough cash and preserve enough financial flexibility to address B4 ahead of the 2028 maturity complex. The company currently has $550mm drawn on its $1.25bn revolver and ~$2.9bn of standalone net debt, with meaningful covenant headroom today. Net First Lien leverage stands at ~2.94x against a 4.25x maximum, and net Total leverage stands at ~4.15x against a 5.00x maximum. MBI materially reduces that cushion. Under the illustrative Base Funding Case, pro forma First Lien leverage increases to ~4.08x and Total leverage to ~5.08x, leaving ~0.17x and 0.42x of headroom, respectively. Total leverage passes only because of the elected 5.50x covenant step up for acquisitions. Without it, Total leverage would breach the standard 5.00x maximum. The 4.25x First Lien test carries no step up under any funding mix, leaving it the tighter constraint with limited room for further operating underperformance. Final covenant headroom will depend on the ultimate transaction financing.

The 2028 maturity wall remains the primary risk. The revolver commitment expires 2/22/28, the $345mm convertible notes mature 3/15/28, and $696mm of B4 matures 5/3/28, all within ~10 weeks of each other. B4 also sits at the center of the springing maturity provisions affecting debt otherwise scheduled to remain outstanding beyond 2028. If more than $150mm of applicable B4 or qualifying B4 refinancing debt remains outstanding, B2 and B3's October 2029 maturities can spring forward to May 2028, and the revolver contains a related springing provision tied to B4. Simply refinancing B4 with another short dated instrument does not necessarily solve the issue. CABO therefore has a strong incentive to repay B4 or refinance it with sufficiently long dated debt rather than allow additional maturities to be pulled into an already concentrated 2028 refinancing window.

Recovery provides additional downside support but is not the reason to own B4. First Lien claims average ~88% recovery across the Recovery tab's Current Draw stress grid, roughly in line with B4's current purchase price of 87. Recovery falls materially if the revolver is fully drawn, averaging ~70%, so the analysis does not support relying on collateral value alone. The 88% figure reflects the revolver's current $550mm draw, pre-funding. Any revolver-funded portion of the MBI purchase pushes the actual draw toward the Fully Drawn case, and post-close recovery support will depend on the final funding structure. MBI's ~$920mm of existing debt is currently structurally separate from CABO and does not share in CABO's First Lien collateral. Upon consummation of the MBI transaction, debt remaining under the MBI Credit Agreement is treated as First Lien Indebtedness for purposes of CABO's covenant calculations, materially reducing covenant headroom. The ultimate post-close treatment of MBI's existing debt remains unresolved.

At 87, B4 offers ~14.6% YTW. B2 and B3 offer ~12.1% to 12.2% despite remaining exposed to CABO through their scheduled October 2029 maturities if B4 is successfully addressed. The higher yield is attractive, but it is not the basis for the recommendation. The forecast shows CABO remaining strongly free cash flow positive despite continued EBITDA decline, providing financial flexibility ahead of the 2028 maturity complex without assuming an operating recovery. MBI adds leverage and materially reduces that flexibility, but does not change the underlying cash generation of the standalone business. B4 also cannot simply be ignored until maturity. Its springing provisions can pull B2, B3 and the revolver into the 2028 refinancing window, giving CABO a strong incentive to address B4 through repayment or sufficiently long dated refinancing. At 87, the market is pricing substantial refinancing risk despite continued cash generation and a capital structure that makes addressing B4 a priority. The recommendation is therefore based on CABO's cash generation and strong incentive to address B4 ahead of 2028, not on an improvement in the underlying business.

Summary Deal Information

Company	Cable One, Inc.	Corporate Rating/Outlook	BB- / B2 (Negative)
HQ Location	Phoenix, AZ	Facilities Ratings (1st Lien)	BB- / Ba3
Industry	Tech, Media, and Telecom	Primary/Secondary Market	Secondary
Sponsor	Public (NYSE: CABO)	Net Sales (mm)	1,441.6
Purpose	Ops / Pending MBI Acq.	LTM Adj. EBITDA (mm)	752.6
Lead Agent	JP Morgan	Total Leverage	3.83x
Term Loan B-2, Maturing 10/30/29	83.88, S+225, 12.2% YTW	EBIT/Interest	5.99x
Term Loan B-3, Maturing 10/30/29	84.00, S+225, 12.1% YTW	Total Secured Debt Leverage	2.71x
Term Loan B-4, Maturing 5/3/28	87.00, S+200, 14.6% YTW	PF Adj. EBITDA-Capex/Int.Coverage	3.70x

MBI Transaction Funding, Illustrative Base Funding Case ($mm)

RCF / Incremental Debt Funding	446.7	Remaining ~55% MBI Purchase Consideration	480.0
Pre-Close FCF / Cash Contribution	33.3		
Total Sources	**$ 480**	**Total Uses**	**$ 480**

PF Capital Structure ($mm)	Amount	LTM	Proj	LTV	Price	Spread	Interest	Maturity		Ratings
Revolver ($1,250mm)	550.00				100.00 / 5.5% YTW	S+ 175bps	30.2	2/22/28		BB- / Ba3
Term Loan B-2	231.9				83.88 / 12.2% YTW	S+ 225bps	13.9	10/30/29		BB- / Ba3
Term Loan B-3	729.9				84.00 / 12.1% YTW	S+ 225bps	43.7	10/30/29		BB- / Ba3
Term Loan B-4	696.1				87.00 / 14.6% YTW	S+ 200bps	40.1	5/3/28		BB- / Ba3
Total Secured Debt (First Lien)	**2,207.8**	**2.9x Net 2.7x**	**2.9x**	**72%**			**127.9**			
4.00% Senior Notes due 2030	502.6				38.46%		20.1	11/15/30	30.98%	B / Caa1
1.125% Convertible Senior Notes due 2028	345.0				43.32%		3.9	3/15/28	62.33%	B / Caa1
Less: Debt issuance Costs/Discounts	(13.2)									
Plus: Finance Lease Liabilities	2.9									
Total Debt (incl. Senior Unsecured)	**3,045.2**			**99%**						
Less: Cash and Cash Equivalents	(166.2)									
Net Debt	**2,879.0**	**3.8x**	**3.8x**	**94%**						
Equity Value	195.6									
Enterprise Value	**3,074.6**	**4.1x**	**4.1x**							
PF Adj. EBITDA		752.6	752.6							
Capex		(288.2)	(288.2)							
Cash Interest		(125.6)	(125.6)							
Taxes		60.6	60.6							
Changes in NWC		(16.0)	(16.0)							
Other CFO		(130.4)	(130.4)							
FCF		**253.0**	**253.0**							

	LTM		Projected	
	Secured	Total	Secured	Total
LTV	72%	99%	72%	99%
EBITDA/Interest	6.0x	6.0x	6.0x	6.0x
(EBITDA-Capex)/Interest	3.7x	3.7x	3.7x	3.7x
FCF/Debt	11.5%	8.3%	11.5%	8.3%

Business Overview

Cable One, Inc. is a broadband and video provider operating primarily in mid-sized and rural markets under the Sparklight brand, with a single reportable segment. Revenue is increasingly concentrated in residential and business data, while legacy video and voice remain in structural decline as customers migrate to data-only and streaming alternatives. The network is primarily hybrid fiber-coax (HFC), with fiber-to-the-premises (FTTP) deployed in select competitive markets representing ~10% of markets as of the Q4'25 call. Essentially all of the network is gigabit-capable today, with the vast majority of markets expected to support multi-gig speeds by year-end 2026 per the Q2'26 call. Management has characterized these upgrades as capital-efficient investments in the existing HFC plant rather than a new capital program. Peak-hour network utilization remains at or below 20%, against ~835GB of average monthly usage per customer as of Q4'25, providing meaningful capacity headroom under current usage levels.

Competitive intensity remains elevated. ~80% of the footprint has at least one fixed wireless access (FWA) competitor as of the Q1'26 call, while fiber overbuild remains active in portions of the footprint. AT&T's DSL decommissioning represents an additional swing factor for future fiber and FWA buildout. Residential data subscribers have declined for multiple consecutive quarters, although management reported sequential improvement in both connect activity and disconnects into Q1'26 and Q2'26. The network therefore does not appear to face an immediate capacity constraint, but competitive pressure and continued subscriber losses remain the central operating challenges.

CABO has historically owned ~45% of Mega Broadband Investments (MBI), a fiber-focused broadband platform accounted for under the equity method. GTCR, which owns the remaining ~55%, exercised its contractual put right, requiring CABO to acquire that stake for ~$480mm, with closing expected in October 2026. Upon closing, CABO will move from equity method accounting to full consolidation of MBI's assets, liabilities, and operating results. MBI currently has ~$920mm of existing term debt, expected to be ~$900mm at closing, separate from the ~$480mm purchase consideration. The final funding mix for the acquisition and treatment of MBI's existing debt have not yet been finalized.

Bansi Patel, CFA

Summary Financials

	FY 2022	FY 2023	FY 2024	FY 2025	LTM
Revenues	1,706.0	1,678.1	1,579.5	1,501.4	1,441.6
% Growth	-	*(1.6%)*	*(5.9%)*	*(4.9%)*	*(4.0%)*
Adj. EBITDA	911.9	916.9	854.0	801.7	752.6
Acq. Adjustments	-	-	-	-	-
PF Adj. EBITDA	911.9	916.9	854.0	801.7	752.6
Capex	(414.1)	(371.0)	(286.4)	(285.3)	(288.2)
Cash Interest	(137.7)	(170.1)	(138.0)	(130.0)	(125.6)
Taxes	(119.7)	(72.8)	(25.2)	87.9	60.6
Change in NWC	2.4	(27.9)	22.4	(39.5)	(16.0)
Other CFO	81.2	17.1	(49.0)	(156.7)	(130.4)
FCF	323.9	292.1	377.8	278.1	253.0
Acquisitions, Net	(34.2)	29.1	(278.1)	131.1	163.2
Sale of Assets	-	-	-	-	-
Change in Debt	(38.8)	(177.7)	(65.6)	(390.1)	(401.5)
Equity Transactions, Net	(66.3)	(66.3)	(67.9)	(17.2)	-
Stock Buyback	(353.3)	(99.6)	-	-	-
Other CFF	(5.0)	(2.5)	(2.9)	(2.6)	(1.3)
Change in Cash	(173.7)	(24.9)	(36.7)	(0.9)	13.3
FCF Yield	10.5%	9.5%	12.3%	9.0%	8.2%
Total Debt	3,808.5	3,646.0	3,590.2	3,193.9	3,045.2
Cash	215.2	190.3	153.6	152.8	166.2
Net Debt	3,593.4	3,455.7	3,436.6	3,041.2	2,879.0
Net Debt / EBITDA	3.9x	3.8x	4.0x	3.8x	3.83x
Total Debt / EBITDA	4.2x	4.0x	4.2x	4.0x	4.05x
EBITDA - Capex / Interest	3.6x	3.2x	4.1x	4.0x	3.7x

Investment Risks and Strengths

Investment Strengths

- Forecast assumes continued EBITDA pressure while CABO remains strongly FCF positive, so the thesis does not require an operating recovery
- B4-linked springing provisions can pull B2/B3 and the Revolver into 2028, giving CABO a strong incentive to address B4. B4 offers ~14.6% YTW at 87.00 versus ~12.1–12.2% for B2/B3
- Current Draw scenarios produce ~88% average First Lien recovery versus B4's current price of 87, pre-funding. Post-close recovery support depends on the final MBI funding structure
- Standalone First Lien / Total Net Leverage of ~2.94x / ~4.15x remains inside 4.25x / 5.00x limits. Illustrative PF MBI leverage rises to ~4.08x / ~5.08x assuming the permitted step-up
- Revolver and Term Loans are pari passu First Lien claims under the current structure
- MBI debt is currently structurally separate and non-recourse to CABO, but counts as First Lien Indebtedness for CABO covenant calculations upon consummation of the MBI transaction
- CABO's network is essentially all gigabit-capable and expected to be predominantly multi-gig by YE26 using existing HFC infrastructure
- Peak network utilization remains at or below ~20% despite ~835GB average monthly usage per customer
- The MBI Term Loan Exchange Offer has not been consummated, and CABO disclosed it is considering not consummating the proposed FLFO/FLSO exchange

Investment Risks

- 2028 refinancing is the key risk, with the Revolver expiring in February, $345mm of Converts maturing in March and $696mm of B4 maturing in May. Failure to sufficiently address B4 could pull B2/B3 and the Revolver into the same window
- MBI requires ~$480mm of purchase consideration and has ~$920mm of existing debt, materially increasing leverage while the final funding structure and treatment of MBI debt remain unresolved
- Residential broadband subscribers and EBITDA remain under pressure. Downside case Total Net Leverage approaches ~4.9x by 2029E, near the 5.00x limit
- Fiber overbuild and FWA remain meaningful competitive risks, though existing HFC capability limits near-term technology-driven capex needs
- Fully Drawn Revolver stress reduces average First Lien recovery to ~70% versus ~88% under Current Draw
- The proposed MBI FLFO/FLSO exchange highlights LME risk, although no transaction targeting CABO's existing Term Loans has been consummated
- Final MBI financing or CABO credit support could change leverage, lien priority and recovery
- Recovery remains valuation-sensitive, though the 3.5x–4.5x range shows meaningful First Lien value without relying on MBI equity value

Term Sheet Summary

Credit Facility

Borrower:	Cable One, Inc.
Credit Facility:	$1.25B Revolving Credit Facility, Term Loan B-2, Term Loan B-3, Term Loan B-4
Guarantors:	Borrower plus material wholly-owned domestic restricted subsidiaries. MBI subsidiaries excluded while MBI Credit Agreement in effect (Amdt. No. 2, through 11/12/27)
Issue Date:	2/22/2023
Maturity Date:	RCF: 2/22/2028, springing maturity applies. B4: 5/3/2028. B2/B3: 10/30/2029, springing maturity applies if B4 or qualifying refinancing debt exceeds $150mm.
Applicable Margin:	200 bps
CSA:	11 bps
Financial Covenants:	Max 5.00x Total Net Leverage Ratio (step-up to 5.50x for up to three permitted acquisition periods), max 4.25x First Lien Net Leverage Ratio, tested quarterly
Floor:	-
Term Loan Amortization:	TLB-2 $0.625mm/qtr, TLB-3 $1.936mm/qtr, TLB-4 $2.000mm/qtr, remaining balances due at maturity
Call Protection:	None on TLB-2/3. TLB-4 1.00% soft call expired 4/7/25. All term loans now prepayable at par

Industry Comps ($mm)	Ticker	Price	YTD Price	Market Cap	Total Debt	Cash & Equivalents	Minority Interest	Enterprise Value	Revenue LTM	EBITDA LTM	EBITDA Margin	Net Debt /EBITDA	TEV/ EBITDA
Charter Communications	CHTR	$ 157.69	(24.5%)	18,284	96,710	509	4,949	119,434	54,396	21,811	40.1%	4.4x	5.5x
Optimum Communications	OPTU	$ 0.83	(49.9%)	298	26,551	1,296	39	25,592	8,380	3,098	37.0%	8.2x	8.3x
Comcast	CMCSA	$ 25.65	(8.4%)	89,426	90,381	7,661	192	172,338	124,905	34,419	27.6%	2.4x	5.0x
								Median			**37.0%**	**4.4x**	**5.5x**
Cable One	**CABO**	**$ 34.48**	(67.7%)	**196**	**3,045**	**166**	**-**	**3,075**	**1,442**	**753**	**52.2%**	**3.8x**	**4.1x**

Debt Comps ($mm)	Borrower	Facility Ratings	Maturity	Spread	Amount O/S	Price	Yield	EBITDA	Total Debt	Cash	Gross Leverage	Total Leverage
Charter Communications	Charter Communications	BB+ / Ba2	12/15/2031	S+ 225bps	2,500	96.75%	6.61%	21,811	96,710	509	4.4x	4.4x
CSC Holdings / Optimum	CSC Holdings / Optimum	CCC	4/15/2027	L+ 250bps	2,500	63.19%	75.33%	3,098	26,551	1,296	8.6x	8.2x
Median						**80.0%**	**41.0%**				**6.5x**	**6.3x**
Cable One	Cable One, Inc.	BB- / Ba3	5/3/28	S+ 200bps	696	87.00%	14.55%	752.6	3,045	166	4.05x	3.83x

Re-Rating Triggers

BUY maintained at current levels. Reassess the recommendation upon any of the following:

- CABO fails to demonstrate a credible path to address B4 ahead of the 2028 maturity complex
- MBI financing results in materially greater leverage, reduced liquidity or weaker B4 creditor protection than currently contemplated
- FCF deteriorates materially below forecast, reducing financial flexibility ahead of the 2028 refinancing

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Capital Structure

($ in millions)	Spread	CSA	Interest Rate	Maturity Date	Jun-26	Leverage	Gross Lev	FCF Yield	LTV	Interest Expense	Market Price	Callable	Call Price	Yield-to-Worst	Current Yield	Market Value	Leverage	FCF Yield	LTV	S&P/Moodys Credit Rating
Revolving Credit Facility ($1.25B commitment)	S+ 175bps	0.10%	5.49%	2/22/28	550.0					30.2	100.00%	2/22/23	100.00%	5.49%	5.49%	550.0				BB- / Ba3
Term Loan B-2 (SOFR + 10.0bps CSA + 2.25%	S+ 225bps	0.10%	5.99%	10/30/29	231.9					13.9	83.88%	1/7/19	100.00%	12.20%	7.14%	194.5				BB- / Ba3
Term Loan B-3 (SOFR + 10.0bps CSA + 2.25%	S+ 225bps	0.10%	5.99%	10/30/29	729.9					43.7	84.00%	6/14/19	100.00%	12.15%	7.13%	613.1				BB- / Ba3
Term Loan B-4 (SOFR + 11.4bps CSA + 2.00%	S+ 200bps	0.11%	5.75%	5/3/28	696.1					40.1	87.00%	5/3/21	100.00%	14.55%	6.61%	605.6				BB- / Ba3
Total Secured Debt					**2,207.8**	**2.7x**	**2.9x**	**12.4%**	**66.4%**	**127.9**						**1,963.2**	**2.4x**	**14.1%**	**58.4%**	
Less: Debt issuance Costs/Discounts					(13.2)															
Plus: 4.00% Senior Notes due 2030			4.00%	11/15/30	502.6					20.1	38.46%	11/15/26	101.33%	30.98%	10.40%	193.3				B / Caa1
Plus: 1.125% Convertible Senior Notes due 2028			1.13%	3/15/28	345.0					3.9	43.32%	-	-	62.33%	2.60%	149.5				B / Caa1
Plus: Finance Lease Liabilities					2.9						-	-	-	-	-	2.9				
Total Debt					**3,045.2**	**3.8x**	**4.0x**	**8.8%**	**93.6%**	**151.8**						**2,308.8**	**2.8x**	**11.8%**	**69.7%**	
Plus: Equity Value					195.6															
Less: Cash and Cash Equivalents					(166.2)															
Total Enterprise Value					**3,074.6**	**4.1x**	-	**8.2%**												

Assumptions

Value Date	8/14/2026
SOFR	3.64%
SOFR Floor	0.00%
LIBOR-SOFR CSA (3M ARRC adjustment)	0.26%
Stock Price	$ 34.48
Revolver Size	1,250.0
Incremental Term Loan	0.0
ABL Borrowing Base	1250.0
LC's Outstanding	0.0

Shares Outstanding

Common Stock	5.6734
Other Class Stock	0.0000
Warrants	0.0000
TSM Shares Outstanding	0.0000
Fully Diluted Shared	5.673367
Date of Share Count	6/30/2026
Last Updated	8/14/2026

CABO Standalone Credit Forecast

	FY 2022	FY 2023	FY 2024	FY 2025	LTM	2026E	2027E	2028E	2029E
Revenues	1,706.0	1,678.1	1,579.5	1,501.4	1,441.6	1,411.3	1,326.7	1,247.1	1,172.2
Acquisitions	-	-	-	-	-	-	-	-	-
PF Revenues	1,706.0	1,678.1	1,579.5	1,501.4	1,441.6	1,411.3	1,326.7	1,247.1	1,172.2
EBITDA	911.9	916.9	854.0	801.7	752.6	705.7	663.3	623.5	586.1
Acquisitions	-	-	-	-	-	-	-	-	-
PF EBITDA	911.9	916.9	854.0	801.7	752.6	705.7	663.3	623.5	586.1
Capex	(414.1)	(371.0)	(286.4)	(285.3)	(288.2)	(268.2)	(252.1)	(236.9)	(222.7)
Interest Expense	(137.7)	(170.1)	(138.0)	(130.0)	(125.6)	(151.8)	(141.2)	(131.1)	(121.5)
Taxes	(119.7)	(72.8)	(25.2)	87.9	60.6	(71.4)	(67.5)	(63.9)	(60.5)
Change in NWC	2.4	(27.9)	22.4	(39.5)	(16.0)	-	-	-	-
Other CFO[1]	81.2	17.1	(49.0)	(156.7)	(130.4)	-	-	-	-
FCF	323.9	292.1	377.8	278.1	253.0	214.3	202.6	191.6	181.4
FCF Yield	*10.5%*	*9.5%*	*12.3%*	*9.0%*	*8.2%*	7.0%	6.6%	6.2%	5.9%
EBITDA Margin	*53.4%*	*54.6%*	*54.1%*	*53.4%*	*52.2%*	50.0%	50.0%	50.0%	50.0%
% of debt	*14.7%*	*13.2%*	*17.1%*	*12.6%*	*11.5%*	9.7%	9.2%	8.7%	8.2%
Debt Paydown / (Borrowing)	38.8	177.7	65.6	390.1	401.5	214.3	202.6	191.6	181.4
Ending Debt	3,808.5	3,646.0	3,590.2	3,193.9	3,045.2	2,830.9	2,628.4	2,436.7	2,255.3
Cash	215.2	190.3	153.6	152.8	166.2	166.2	166.2	166.2	166.2
Net Debt	3,593.4	3,455.7	3,436.6	3,041.2	2,879.0	2,664.7	2,462.2	2,270.5	2,089.1
Net Leverage	3.9x	3.8x	4.0x	3.8x	3.8x	3.8x	3.7x	3.6x	3.6x

1) 2026E-2029E Other CFO assumed zero. FY25/LTM swings reflect a non-cash impairment, not a recurring item.

Quarterly Summary	Q1'26	Q2'26
Revenue	353.0	348.9
Adj. EBITDA	183.3	173.5
Margin	*51.9%*	*49.7%*
Capex	(68.4)	(74.0)
Adj, FCF	49.8	46.9
Actual FCF	49.8	46.9
Uses of Cash		
Acq./Div.	44.5	(3.5)
Debt Change	(80.5)	(42.7)

Liquidity	
Revolver	1,250.0
Less: Drawn	(550.0)
Less:LC's	-
Revolver Available	700.0
Cash	166.2
Total Liquidity	866.2

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